

NVIDIA Corporation

Strong Results/Guide on H100 and New H200 Ramp - Enterprise Expanding Rapidly and Demand Continues to Outstrip Supply Into CY25; Reit OW

NVIDIA reported Apr results (revenue/GMs/EPS) above consensus, and off of a higher Apr-Qtr revenue base, the team guided to a 7.5% Q/Q increase in the Jul-Qtr, well-above consensus on continued strong spending from its customers to support their AI/accelerated compute initiatives (both training/inference) and the strong demand for its Hopper H100 and new H200 GPU platforms (Blackwell GB200/B200/B100 sampling now and ramping meaningful shipments in FQ4). We were more impressed with the increasing breadth of the customer demand, with enterprise/enterprise verticals driving strong Q/Q growth in addition to consumer internet hyperscalers. More importantly, the team noted that demand will continue to outstrip supply into CY25, and potentially easing fears of an inventory build/correction in the 2H of next year. The team was constructive on the sustained growth into CY25+ driven by transition to accelerated computing, proliferation of generative AI applications, strong enterprise/enterprise vertical penetration, and build-out of sovereign AI. The team remains on track to begin initial production shipments in FQ3 and full ramp in FQ4 of its next-gen Blackwell solution (GB200/B200/B100) - and we anticipate this to be a strong driver in CY25. China sales we estimate were 5-7% of datacenter revenues in the Apr-Qtr and we expect China to remain at these levels for the remainder of the year. Datacenter grew 23%+ Q/Q in the Apr-Qtr on strong compute demand (up 29% Q/Q) on continued strong hopper H100 shipments, partially offset by a sequential decline in networking products due to timing-related supply issues. Despite this, the networking business is still driving a \$12B+ annualized run-rate and the team still has the Quantum X800 product cycle in front of them. Inference continues to average 40% of the datacenter mix (mostly high-end GPUs like the H100) and reflects strong deployment activity by customers. In July, the team will commence shipping its H200 next-gen platforms (continued sampling, of GB200/B200/B100), which we believe will be a strong product cycle for the team into CY25. The team announced a 10:1 forward stock split to be executed in early June. Longer term, the team continues to maintain a 1- 2 step lead ahead of competitors with its silicon/hardware/software platforms, and a strong ecosystem (4M CUDA software developers) and the team is further distancing itself with its aggressive cadence of new product launches and more product segmentation over time. We increase our forward estimates and increase our Dec-24 PT to \$1150 (from our prior PT of \$850), and reiterate our OW rating.

Overweight

NVDA, NVDA US
Price (22 May 24):\$949.50

▲ **Price Target (Dec-24):\$1,150.00**
Prior (Dec-24):\$850.00

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Key Changes (FYE Jan)

	Prev	Cur
Adj. EPS - 25E (\$)	22.70	26.45

Quarterly Forecasts (FYE Jan)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	1.09	6.12A	
Q2	2.70	6.29	
Q3	4.02	6.74	
Q4	5.16	7.30	
FY	12.96	26.45	

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	86	85	90	75	77
Growth	7	61	81	81	67
Momentum	3	4	7	53	84
Quality	1	5	6	8	3
Low Vol	60	57	62	45	75
ESGQ	13	21	19	6	1

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	91.7%	19.4%	20.9%	204.6%
Rel	80.4%	13.5%	16.6%	178.0%

Company Data

Shares O/S (mn)	2,499
52-week range (\$)	974.00-298.06
Market cap (\$ mn)	2,372,800.00
Exchange rate	1.00
Free float(%)	96.0%
3M - Avg daily vol (mn)	49.89
3M - Avg daily val (\$ mn)	43,148.1
Volatility (90 Day)	52
Index	S&P 500
BBG BUY HOLD SELL	61 7 0

Key Metrics (FYE Jan)

\$ in millions	FY24A	FY25E
Financial Estimates		
Revenue	60,922	117,524
Adj. EBIT	33,069	73,151
Adj. EBITDA	33,493	73,575
Adj. net income	32,312	65,891
Adj. EPS	12.96	26.45
BBG EPS	25.36	31.51
Cashflow from operations	28,091	54,790
FCFF	27,023	53,446
Margins and Growth		
Revenue Growth Y/Y (%)	125.9%	92.9%
EBIT margin	54.3%	62.2%
EBIT growth	464.5%	121.2%
EBITDA margin	55.0%	62.6%
EBITDA Growth Y/Y (%)	433.2%	119.7%
Net margin	53.0%	56.1%
Adj. EPS growth	288.4%	104.1%
Ratios		
Adj. tax rate	12.1%	16.3%
Interest cover	-	-
Net debt/Equity	NM	NM
Net debt/EBITDA	NM	NM
ROE	99.3%	93.8%
Valuation		
FCFF yield	1.1%	2.3%
Dividend yield	0.1%	0.1%
EV/Revenue	38.7	19.7
EV/EBITDA	70.4	31.4
Adj. P/E	73.3	35.9

Summary Investment Thesis and Valuation

Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in the shares, driving our Overweight rating.

Valuation

Our Dec-24 PT assumes that NVIDIA trades at 30-35x applied to ~\$33 of earnings power in CY25. Our outlook of \$33 of earnings power assumes the team will drive its earnings power by 30-35%+ per year over the next few years led by the continued strong datacenter growth (20-30% CAGR), monetizing an incremental ~\$14B of auto revenue pipeline and an incremental \$1-2B of software, licensing, and subscription revenues over the next 3-4 years.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.72	0.60
Sect: Technology	0.64	0.74
Ind: Semicond & S Equip	0.81	0.90
Macro:		
US Dollar	0.42	0.23
US 10yr yield	0.27	0.21
Non-Energy Commodity	-0.41	-0.16
Quant Styles:		
DivYld	-0.58	-0.42
Growth	0.44	0.31
Value	-0.49	-0.28

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Strong F1Q25 (Apr-Qtr) results led by continued strong AI led by its H100 platform...good to see demand broadening out to enterprise/enterprise verticals....** NVIDIA reported F1Q25 revenue of \$26B (up 18% Q/Q), above consensus (\$24.7B) led by the continued strong demand pull for its Datacenter solutions. Datacenter revenue grew 23% Q/Q on continued strong demand pull for its H100 products (DataCenter Compute up 29% Q/Q) and partially offset by a slight decline in networking products (down 5%) on timing-related component issues. Gaming revenues were down 8% Q/Q on seasonal softness. Pro Vis (down 8% Q/Q) normalized after multiple quarters of strong Q/Q growth dynamics. Auto was up 17% Q/Q on continued ramp of its intelligent cockpit compute solutions and autonomous platforms. GM of 78.9% was above consensus on strong mix/favorable component pricing and EPS of \$6.12 was above consensus.
- **F2Q25 (Jul-Qtr) guidance above consensus on ramp of new H200 datacenter platforms and strong datacenter networking augmented by Q/Q growth in gaming, proviz, and auto.** Jul-Q revenue guidance of \$28B (up 7.5% Q/Q, and versus consensus of \$26.8B) on continued strong DataCenter demand given the strong demand pull from Generative AI/LLMs and on the ramp of the team's new H200 platforms. At the midpoint, in F2Q25, the team sees Q/Q growth in all segments (we believe led by strong Q/Q datacenter growth). GM is normalizing at 75.5% in the Jul-Qtr. OpEx is guided to \$2.8B. Implied EPS is \$6.20, above consensus of \$6.03.
- **Datacenter revenue continues to accelerate in CY24 and should continue into CY25....** Demand was strong for AI inference and training and the customer profile appears to be positively broadening to the enterprise/enterprise vertical markets (good timing with the launch of NVIDIA's NIM software/platform strategy targeted for enterprises). More importantly, the team noted that demand will continue to outpace supply growth through CY24 and potentially into CY25, allaying fears of an inventory build/correction in the 2H of next year. As expected, the team is already hinting at its next-gen GPU platform (recall the team is now on a 1-year new product cadence trajectory).
- **Increasing forward estimates and increasing our Dec-24 PT to \$1150.** We increase our forward estimates and increase our PT to \$1150 (from our prior PT of \$850). We remain Overweight NVDA.

Table 1: NVIDIA F1Q25 (Apr-Qtr) Earnings and F2Q25 (Jul-Qtr) Outlook

\$ in millions, except per share data

	F1Q25 (Apr-Q)				F2Q25E (Jul-Q)	
	Actual	JPM Est	Diff	Consensus	Guidance	Consensus
Revenue (\$M)	\$26,044	\$24,000	\$2,044	\$24,692	\$28,000	\$26,819
Q/Q Change	17.8%	8.6%	9.2%			
Gross Margin (excl SBC)	78.9%	77.0%	1.9%	77.1%	75.5%	75.6%
Op Margin (excl SBC)	68.9%	65.9%	2.9%			
Proforma EPS (excl SBC)	\$6.12	\$5.32	\$0.80	\$5.65	\$6.20	\$6.03

Source: Company reports and J.P. Morgan estimates

Table 2: Reporting Segment Summary for F1Q25 (vs. F4Q24)

\$ in millions

	F4Q24	F1Q25	Q/Q	Y/Y	% of Revs
Graphic	\$4,205	\$3,369	-20%	23%	13%
Compute & Networking	\$17,898	\$22,675	27%	408%	87%
Total	\$22,103	\$ 26,044	18%	262%	

Source: Company reports

Table 3: End Market Segment Summary for F1Q25 (vs. F4Q24)

\$ in millions

	F4Q24	F1Q25	Q/Q	Y/Y	% of Revs
PC OEM	\$90	\$78	-13%	1%	0%
PC Gaming	\$2,865	\$2,647	-8%	18%	10%
Pro Vis	\$463	\$427	-8%	45%	2%
Datacenter	\$18,404	\$22,563	23%	427%	87%
Automotive	\$281	\$329	17%	11%	1%
Total	\$22,103	\$26,044	18%	262%	

Source: Company reports

Balance Sheet and Cash Flow

During the Apr-Qtr, the company generated cash flow from operations of \$15.3B (vs. \$11.5B in the Jan-Qtr) and exited the quarter with \$31.4B in cash, cash equivalents, and marketable securities (vs. \$25.9B in the Jan-Qtr). Inventory decreased to \$5.9B in the Apr-Qtr. In F1Q25, NVIDIA returned \$98 million in cash dividend and repurchased \$7.7B in shares. The team announced a 10:1 forward stock split to be executed in early June.

Appendix I: Comp and Group Valuation

Table 4: Semiconductor Comp and Group Valuation Table

JPM Rating	Market Cap	5/22/24 Price	Non-GAAP EPS C24E	P/E C24E	Revenues C24E	P/S C24E	Consensus Non-GAAP EPS		Consensus Sales		Consensus P/E		Consensus P/S		
							C24E	C25E	C24E	C25E	C24E	C25E	C24E	C25E	
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PC Semiconductors															
	UW	\$133,284	\$31.42	\$1.22	25.7	\$56,643	2.4	\$1.03	\$1.90	\$55,837	\$62,713	30.6	16.5	2.4	2.1
	OW	\$2,363,306	\$949.50	\$26.45	35.9	\$117,524	20.1	\$25.59	\$32.02	\$112,286	\$143,674	37.1	29.7	21.0	16.4
	N	\$271,287	\$165.52	\$3.55	46.6	\$25,761	10.5	\$3.51	\$5.57	\$25,530	\$32,638	47.2	29.7	10.6	8.3
Memory															
	UW	\$140,876	\$126.28	\$3.72	33.9	\$28,453	4.9	\$3.90	\$10.34	\$29,069	\$39,329	32.4	12.2	4.8	3.6
	NR	\$24,636	\$73.54	\$5.86	12.6	\$15,387	1.6	\$5.72	\$8.47	\$16,078	\$18,699	12.8	8.7	1.5	1.3
Enterprise/Networking/Datacenter Semiconductors															
	OW	\$63,711	\$73.68	\$1.70	43.3	\$5,595	11.4	\$1.40	\$2.28	\$5,308	\$6,807	52.8	32.4	12.0	9.4
	OW	\$650,176	\$1,392.24	\$50.09	27.8	\$53,104	12.2	\$49.15	\$59.68	\$51,942	\$58,606	28.3	23.3	12.5	11.1
	OW	\$11,381	\$73.14	\$0.45	162.8	\$305	37.3	\$0.34	\$0.58	\$287	\$424	215.1	127.2	39.6	26.8
Mobile Devices															
	N	\$15,080	\$93.43	\$6.05	15.4	\$4,053	3.7	\$5.99	\$6.93	\$4,039	\$4,332	15.6	13.5	3.7	3.5
	UW	\$9,690	\$99.55	\$5.88	16.9	\$3,875	2.5	\$5.91	\$7.62	\$3,879	\$4,140	16.8	13.1	2.5	2.3
IoT															
	OW	\$4,071	\$127.58	N/A	N/A	\$596	6.8	(\$1.35)	\$2.87	\$634	\$944	(94.5)	44.4	6.4	4.3
	OW	\$3,668	\$93.34	\$2.67	35.0	\$1,015	3.6	\$2.70	\$5.33	\$1,017	\$1,245	34.6	17.5	3.6	2.9
Analog/Microcontrollers															
	OW	\$185,729	\$202.54	\$5.62	36.0	\$16,441	11.3	\$5.26	\$6.55	\$15,776	\$17,955	38.5	30.9	11.8	10.3
	OW	\$119,728	\$240.16	\$6.44	37.3	\$9,398	12.7	\$6.12	\$8.23	\$9,223	\$10,813	39.2	29.2	13.0	11.1
	N	\$72,204	\$278.83	\$14.10	19.8	\$13,264	5.4	\$13.95	\$15.90	\$13,110	\$14,256	20.0	17.5	5.5	5.1
	OW	\$54,202	\$99.49	\$2.50	39.8	\$5,403	10.0	\$2.44	\$3.91	\$5,331	\$6,595	40.8	25.4	10.2	8.2
Diversified/Consumer/Standard Components/Other															
	N	\$33,301	\$76.29	\$4.02	19.0	\$7,204	4.6	\$4.02	\$4.76	\$7,224	\$7,917	19.0	16.0	4.6	4.2
	N	\$7,412	\$101.16	\$2.80	36.2	\$781	9.5	\$2.70	\$3.55	\$773	\$886	37.5	28.5	9.6	8.4
Foundries															
	N	\$30,807	\$55.21	\$1.43	38.5	\$6,850	4.5	\$1.32	\$2.07	\$6,677	\$7,607	41.7	26.7	4.6	4.0
Semiconductor Capital Equipment															
	OW	\$182,373	\$218.15	\$9.10	24.0	\$28,396	6.4	\$8.48	\$9.95	\$27,274	\$30,656	25.7	21.9	6.7	5.9
	OW	\$127,016	\$965.77	\$32.55	29.7	\$15,853	8.0	\$32.13	\$41.87	\$15,940	\$19,122	30.1	23.1	8.0	6.6
	OW	\$104,841	\$771.71	\$25.67	30.1	\$10,320	10.2	\$24.85	\$31.00	\$10,243	\$11,883	31.1	24.9	10.2	8.8
Chip Design Automation Software															
	OW	\$118,898	\$112.43	\$1.31	86.1	\$3,582	33.2	\$1.34	\$2.02	\$3,611	\$4,834	83.8	55.8	32.9	24.6
	N	\$80,105	\$292.84	\$5.93	49.3	\$4,590	17.5	\$5.93	\$6.97	\$4,587	\$5,197	49.4	42.0	17.5	15.4
	OW	\$89,276	\$573.13	\$13.13	43.7	\$6,345	14.1	\$13.10	\$15.41	\$6,273	\$7,128	43.8	37.2	14.2	12.5
Large Cap Semi Average				32.8			9.7					35.0	24.8	10.0	8.5
Small-Mid Cap Semi Average							5.9					24.4	19.2	5.6	5.0
Semi Group Average (ex-outliers)							29.6					31.7	22.8	7.7	6.6
SOX Index			5,127	156			32.9					32.9	23.0	7.7	6.5
S&P500			5,307	242			21.9					21.9	19.3	2.8	2.7

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. Prices as of market close 05/22/2024.

Appendix II: Financial Tables

Table 5: NVIDIA Income Statement

\$ in millions, except per share data

\$M	Apr-21	Jul-21	Oct-21	Jan-22	C21	Apr-22	Jul-22	Oct-22	Jan-23	C22	Apr-23	Jul-23	Oct-23	Jan-24	C23	Apr-24	Jul-24	Oct-24	Jan-25	C24
FY end: Jan.	1Q22	2Q22	3Q22	4Q22	F22	1Q23	2Q23	3Q23	4Q23	F23	1Q24	2Q24	3Q24	4Q24	F24E	1Q25	2Q25E	3Q25E	4Q25E	F25E
Total revenue	5,661	6,507	7,103	7,643	26,914	8,288	6,704	5,931	6,051	26,974	7,192	13,507	18,120	22,103	60,922	26,044	28,335	30,439	32,706	117,524
% Change Y/Y	83.8%	68.3%	50.3%	52.8%	61.4%	46.4%	3.0%	-16.5%	-20.8%	0.2%	-13.2%	101.5%	205.5%	265.3%	125.9%	262.1%	109.8%	68.0%	48.0%	92.9%
% Change Q/Q	13.2%	14.9%	9.2%	7.6%		8.4%	-19.1%	-11.5%	2.0%		18.9%	87.8%	34.2%	22.0%		17.8%	8.8%	7.4%	7.4%	
Cost of goods sold	2,032	2,292	2,472	2,644	9,440	2,857	3,789	2,754	2,218	11,618	2,544	4,045	4,720	5,312	16,621	5,638	7,140	7,732	8,275	28,785
% Change Y/Y	88.8%	44.1%	40.0%	43.2%	50.3%	40.6%	65.3%	11.4%	-16.1%	23.1%	-11.0%	6.8%	71.4%	139.5%	43.1%	121.6%	76.5%	63.8%	55.8%	73.2%
% Change Q/Q	10.1%	12.8%	7.9%	7.0%		8.1%	32.6%	-27.3%	-19.5%		14.7%	59.0%	16.7%	12.5%		6.1%	26.6%	8.3%	7.0%	
Non-GAAP Gross margin (ex SBC)	66.2%	66.7%	67.0%	67.0%	66.8%	67.1%	45.9%	56.1%	66.1%	57.4%	66.8%	71.2%	75.0%	76.7%	72.9%	78.9%	75.5%	75.2%	75.3%	75.7%
GAAP Gross margin	64.1%	64.8%	65.2%	65.4%	64.9%	65.5%	43.5%	53.6%	63.3%	56.9%	64.6%	70.1%	74.0%	76.0%	72.7%	78.4%	74.8%	74.6%	74.7%	75.5%
R&D	1,153	1,245	1,403	1,466	5,267	1,618	1,824	1,945	1,951	7,338	1,875	2,040	2,294	2,465	8,674	2,720	3,128	3,191	3,254	12,293
% Total revenue	20.4%	19.1%	19.8%	19.2%	19.6%	19.5%	27.2%	32.8%	32.2%	27.2%	26.1%	15.1%	12.7%	11.2%	14.2%	10.4%	11.0%	10.5%	10.0%	10.5%
SG&A (Adj.)	440	454	487	493	1,874	530	536	561	533	2,160	583	609	673	693	2,558	756	822	838	880	3,296
% Total revenue	7.8%	7.0%	6.9%	6.5%	7.0%	6.4%	8.0%	9.5%	8.8%	8.0%	8.1%	4.5%	3.7%	3.1%	4.2%	2.9%	2.9%	2.8%	2.7%	2.8%
Operating income	2,036	2,516	2,741	3,040	10,333	3,283	555	671	1,349	5,858	2,190	6,813	10,433	13,633	33,069	16,930	17,245	18,679	20,297	73,151
% Total revenue	36.0%	38.7%	38.6%	39.8%	38.4%	39.6%	8.3%	11.3%	22.3%	21.7%	30.5%	50.4%	57.6%	61.7%	54.3%	65.0%	60.9%	61.4%	62.1%	62.2%
Opex GAAP	1673	1771	1960	2029		3563	2416	2576	2576		2508	2662	2983	3176		3497	3950	4029	4134	
Opex Non-GAAP	1189	1266	1375	1447	5,277	1608	1749	1793	1775	6,925	1750	1838	2026	2210	7,824	2501	2800	2956	2984	11,241
Opm % ex options	43.5%	45.8%	46.5%	47.0%	47.2%	46.6%	18.0%	23.9%	34.5%	31.8%	40.7%	56.7%	63.0%	66.2%	60.1%	68.9%	65.1%	65.0%	65.7%	66.1%
Interest/Other Expense	(45)	(49)	(52)	(52)	(198)	(45)	(16)	24	43	6	84	120	175	232	611	302	300	310	320	1,232
Pretax income	1,991	2,467	2,689	2,988	10,135	3,238	539	695	1,392	5,864	2,274	6,933	10,608	13,865	33,680	17,232	17,545	18,989	20,617	74,383
% Total revenue	35.2%	37.9%	37.9%	39.1%	37.7%	39.1%	8.0%	11.7%	23.0%	21.7%	31.6%	51.3%	58.5%	62.7%	55.3%	66.2%	61.9%	62.4%	63.0%	63.3%
Income tax	132	20	174	(138)	188	187	(181)	(67)	(125)	(186)	166	793	1,279	1,821	4,059	2,398	2,983	3,228	3,505	12,114
Tax rate	6.6%	0.8%	6.5%	-4.6%	1.9%	5.8%	-33.6%	-9.6%	-9.0%	-3.2%	7.3%	11.4%	12.1%	13.1%	12.1%	13.9%	17.0%	17.0%	17.0%	16.3%
Net income (non-GAAP)	2,313	2,623	2,973	3,350	11,259	3,443	1,292	1,456	2,174	8,365	2,713	6,740	10,020	12,839	32,312	15,238	15,656	16,791	18,206	65,891
% Total revenue	32.8%	37.6%	35.4%	40.9%	37.0%	36.8%	10.7%	12.8%	25.1%	22.4%	29.3%	45.5%	51.5%	54.5%	48.6%	57.0%	51.4%	51.8%	52.3%	53.0%
Avg. No. of Diluted Shr	2,528.0	2,532.0	2,538.0	2,545.0	2,535.8	2,537.0	2,516.0	2,499.0	2,477.0	2,507.3	2,490.0	2,499.0	2,494.0	2,490.0	2,493.3	2,489.0	2,490.0	2,492.0	2,494.0	2,491.3
Avg. No. of Diluted Shr (non-GAAP)	2,528.0	2,532.0	2,538.0	2,545.0	2,535.8	2,537.0	2,516.0	2,499.0	2,477.0	2,507.3	2,490.0	2,499.0	2,494.0	2,490.0	2,493.3	2,489.0	2,490.0	2,492.0	2,494.0	2,491.3
Convertible Adjustment																				
EPS (Non-GAAP)	\$0.91	\$1.04	\$1.17	\$1.32	\$4.44	\$1.36	\$0.51	\$0.58	\$0.88	\$3.34	\$1.09	\$2.70	\$4.02	\$5.16	\$12.96	\$6.12	\$6.29	\$6.74	\$7.30	\$26.45
% Change Y/Y	103.4%	89.9%	61.0%	69.8%	77.5%	48.3%	-50.4%	-50.3%	-33.3%	-24.9%	-19.7%	425.2%	589.6%	487.5%	288.4%	461.9%	133.1%	67.7%	41.6%	104.1%
% Change Q/Q	18.0%	13.2%	13.1%	12.4%		3.1%	-62.2%	13.5%	50.6%		24.1%	147.5%	49.0%	28.3%		18.7%	2.7%	7.2%	8.3%	

Source: Company reports and J.P. Morgan estimates

Table 6: NVIDIA Balance Sheet

\$ in millions, except per share data

	Jan21	Apr21	Jul21	Oct21	Jan22	Apr22	Jul22	Oct22	Jan23	Apr23	Jul23	Oct23	Jan24	Apr24	Jul24	Oct24	Jan25
FY End: Jan.	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E
Assets																	
Cash and ST investment	11,561	12,667	19,654	19,298	21,208	20,338	17,037	13,143	13,296	15,320	16,023	18,281	25,984	31,438	38,093	52,882	70,469
Accounts receivable	2,429	3,024	3,586	3,954	4,650	5,438	5,317	4,908	3,827	4,080	7,066	8,309	9,999	12,365	15,330	16,594	17,060
Inventories	1,826	1,992	2,114	2,233	2,605	3,163	3,889	4,454	5,159	4,611	4,319	4,779	5,282	5,864	10,968	11,567	11,621
Prepaid and other	239	444	452	321	366	636	1,175	718	791	872	1,389	1,289	3,080	4,062	4,062	4,062	4,062
Total current assets	16,055	18,127	25,806	25,806	28,829	29,575	27,418	23,223	23,073	24,883	28,797	32,658	44,345	53,729	68,453	85,105	103,212
PP&E, net	2,149	2,268	2,364	2,509	2,778	2,916	3,233	3,774	3,807	3,740	3,799	3,844	3,914	4,006	4,225	4,444	4,663
Deposits and other	3,657	3,595	3,809	5,561	5,892	6,145	6,417	7,269	8,254	9,866	11,134	11,965	11,927	13,898	13,898	13,898	13,898
Goodwill	4,193	4,193	4,193	4,302	4,349	4,365	4,372	4,372	4,372	4,430	4,430	4,430	4,430	4,430	4,453	4,453	4,453
Intangible assets	2,737	2,613	2,478	2,454	2,339	2,211	2,036	1,850	1,676	1,541	1,395	1,251	1,112	986	986	986	986
Total assets	28,791	30,796	38,650	40,632	44,187	45,212	43,476	40,488	41,182	44,460	49,555	54,148	65,728	77,072	92,015	108,886	127,212
Liabilities																	
Accounts payable	1,201	1,218	1,474	1,664	1,783	1,999	2,421	1,491	1,193	1,141	1,929	2,380	2,699	2,715	3,839	4,157	4,448
Accrued liabilities	1,725	1,787	1,974	1,948	2,552	3,563	3,903	4,115	4,120	4,869	7,156	5,472	6,682	11,258	11,258	11,258	11,258
Short-term Debt	999	999	1,000	0	0	0	1,249	1,249	1,250	1,250	1,249	1,249	1,250	1,250	1,250	1,250	1,250
Deferred revenue																	
Total current liabilities	3,925	4,004	4,448	3,612	4,335	5,562	7,573	6,855	6,563	7,260	10,334	9,101	10,631	15,223	16,347	16,665	16,956
Capital lease obligations	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Long-term Debt	5,964	5,964	10,943	10,944	10,946	10,947	9,700	9,701	9,703	9,704	8,456	8,457	8,459	8,460	8,460	8,460	8,460
Long-term liabilities	2,009	2,054	2,112	2,278	2,294	2,383	2,352	2,583	2,815	2,976	3,264	3,325	3,660	4,247	4,247	4,247	4,247
Total liabilities	11,898	12,022	17,503	16,834	17,575	18,892	19,625	19,139	19,081	19,940	22,054	20,883	22,750	27,930	29,054	29,372	29,663
Total stockholders' equity	16,893	18,774	21,147	23,798	26,612	26,320	23,851	21,349	22,101	24,520	27,501	33,265	42,978	49,142	62,961	79,515	97,548
Total liability and stockholders' equity	28,791	30,796	38,650	40,632	44,187	45,212	43,476	40,488	41,182	44,460	49,555	54,148	65,728	77,072	92,015	108,886	127,212

Source: Company reports and J.P. Morgan estimates

Table 7: NVIDIA Cash Flow Statement

\$ in millions

	Apr'21	Jul'21	Oct'21	Jan'22	Apr'22	Jul'22	Oct'22	Jan'23	Apr'23	Jul'23	Oct'23	Jan'24	Apr'24	Jul'24	Oct'24	Jan'25
FY End: Jan.	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E
Net income (GAAP)	1,912	2,374	2,464	3,003	1,618	656	680	1,414	2,043	6,188	9,243	12,285	14,881	14,562	15,761	17,112
Depreciation and amortization	281	286	298	309	334	378	406	426	384	365	372	387	410	106	106	106
Stock-based compensation	429	465	559	551	578	648	745	738	735	842	979	993	1,011	1,318	1,241	1,318
Allowance for doubtful accounts																
Excess tax benefits from stock comp																
Other adjustments	(112)	18	31	(151)	851	(5)	(34)	(617)	(1,155)	(69)	3	(447)	(1,791)			
Change in working capital																
Change in Receivables	(595)	(563)	(366)	(692)	(788)	120	(410)	1,081	(252)	(2,986)	(1,243)	(1,690)	(2,366)	(2,965)	(1,264)	(466)
Changes in Inventory	(159)	(123)	(118)	(374)	(560)	(725)	(563)	(706)	566	296	(457)	(503)	(577)	(5,104)	(600)	(54)
Prepaid expenses and other assets	2	16	(1,575)	(158)	(1,261)	(293)	247	(210)	(215)	(376)	254	(1,184)	(726)	0	0	0
Deposits and other assets																
Accounts payable	70	209	15	183	255	304	(917)	(193)	11	777	461	281	(22)	(1,124)	(318)	(292)
Accrued liabilities and other liabilities	(1)	133	(62)	423	634	633	(92)	166	689	1,986	(1,722)	1,072	4,202	0	0	0
Other liabilities	47	(133)	273	(61)	70	(446)	330	150	105	(675)	(557)	305	323			
Cash Flow from operations	1,874	2,682	1,519	3,033	1,731	1,270	392	2,249	2,911	6,348	7,333	11,499	15,345	6,793	14,927	17,725
Purchases of marketable securities	(4,470)	(4,798)	2,756		(3,932)	(3,644)	5,884		(2,801)	(2,542)	2,891		(9,303)			
Sales and maturities of marketable securities	3,498	2,443	(6,752)	(1,243)	6,976	5,738	(2,188)	500	2,512	2,598	(5,345)	(5,743)	4,153			
Purchases of PP&E	(298)	(183)	(221)	(273)	(361)	(433)	(530)	(509)	(248)	(289)	(278)	(253)	(369)	(325)	(325)	(325)
Acquisition, net of cash acquired	0	0	(203)	(60)	(36)	(13)	0	0	(83)	0	0	0	(39)			
Other Investing Activities	(2)	5	(18)	(11)	(35)	(30)	(18)	5	(221)	(214)	(437)	(113)	(135)			
Cash flow from investments	(1,272)	(2,533)	(4,438)	(1,587)	2,612	1,618	3,148	(4)	(841)	(447)	(3,169)	(6,109)	(5,693)	(325)	(325)	(325)
Common stock issued under employee stock plans	126	2	149		204	1	143		246	1	156		285	285	285	285
Issue/Repurchase of common stock	(477)				(1,996)	(3,345)	(3,485)	(1,212)	0	(3,067)	(3,806)	(2,660)	(7,740)			0
Principal payments on capital leases			(1,008)				0				0					
Debt proceeds/borrowings	0	4,985		(26)	0	0		(7)	0	(1,250)		(29)	0			
Excess tax benefits from stock comp		(365)	(440)	(618)		(305)	(294)	(339)		(672)	(764)	(841)				
Dividends paid	(99)	(100)	(100)	(100)	(100)	(100)	(100)	(98)	(99)	(99)	(99)	(99)	(98)	(98)	(98)	(98)
Other financing activities	(21)	(21)	(22)		(554)	(13)	(17)		(527)	(11)	(14)		(1,792)			
Cash flow from financing	(471)	4,501	(1,421)	(744)	(2,446)	(3,762)	(3,753)	(1,656)	(380)	(5,098)	(4,527)	(3,629)	(9,345)	187	187	187
Cash at beginning of period	847	978	5,628	1,288	1,990	3,887	3,013	2,800	3,389	5,079	5,882	5,519	7,280	7,587	14,242	29,031
Net change in cash and equivalents	131	4,650	(4,340)	702	1,897	(874)	(213)	589	1,690	803	(363)	1,761	307	6,655	14,789	17,587
Cash at end of period	978	5,628	1,288	1,990	3,887	3,013	2,800	3,389	5,079	5,882	5,519	7,280	7,587	14,242	29,031	46,618

Source: Company reports and J.P. Morgan estimate

Investment Thesis, Valuation and Risks

NVIDIA Corporation (*Overweight; Price Target: \$1,150.00*)

Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in shares, driving our Overweight rating.

Valuation

Our Dec-24 PT assumes that NVIDIA trades at 30-35x applied to ~\$33 of earnings power in CY25. Our outlook of \$33 of earnings power assumes the team will drive its earnings power by 30-35%+ per year over the next few years led by the continued strong datacenter growth (20-30% CAGR), monetizing an incremental ~\$14B of auto revenue pipeline and an incremental \$1-2B of software, licensing, and subscription revenues over the next 3-4 years..

Risks to Rating and Price Target

- Although PC gaming demand seems resilient to macroeconomic weakness, any macro uncertainty could weigh on PC gaming demand trends. Given NVDA's ~53% exposure to the PC gaming segment, any consumer PC gaming weakness poses downside risk to our estimates.
- NVIDIA's GPUs could gain lower than expected deployment into data center applications as hyperscale customers further adopt deep learning as a new and effective way of processing large unstructured data sets. Any significant decrease in the adoption of deep learning by hyperscale customers or increase in competition could result in downside risk to our revenue and earnings estimates.

NVIDIA Corporation: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25E	FY26E	FY27E		1Q25A	2Q25E	3Q25E	4Q25E	
Revenue	26,974	60,922	117,524	-	-	Revenue	26,044A	28,335	30,439	32,706	
COGS	(11,618)	(16,621)	(28,785)	-	-	COGS	(5,638)A	(7,140)	(7,732)	(8,275)	
Gross profit	15,356	44,301	88,740	-	-	Gross profit	20,406A	21,195	22,708	24,431	
SG&A	(2,160)	(2,558)	(3,296)	-	-	SG&A	(756)A	(822)	(838)	(880)	
Adj. EBITDA	6,282	33,493	73,575	-	-	Adj. EBITDA	17,036A	17,351	18,785	20,403	
D&A	(424)	(424)	(424)	-	-	D&A	(106)A	(106)	(106)	(106)	
Adj. EBIT	5,858	33,069	73,151	-	-	Adj. EBIT	16,930A	17,245	18,679	20,297	
Net Interest	-	-	-	-	-	Net Interest	-	-	-	-	
Adj. PBT	5,864	33,680	74,383	-	-	Adj. PBT	17,232A	17,545	18,989	20,617	
Tax	186	(4,059)	(12,114)	-	-	Tax	(2,398)A	(2,983)	(3,228)	(3,505)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	8,365	32,312	65,891	-	-	Adj. Net Income	15,238A	15,656	16,791	18,206	
Reported EPS	1.74	11.94	24.83	-	-	Reported EPS	5.98A	5.79	6.26	6.80	
Adj. EPS	3.34	12.96	26.45	-	-	Adj. EPS	6.12A	6.29	6.74	7.30	
DPS	0.68	0.68	0.68	-	-	DPS	0.17A	0.17	0.17	0.17	
Payout ratio	39.0%	5.7%	2.7%	-	-	Payout ratio	2.8%A	2.9%	2.7%	2.5%	
Shares outstanding	2,507	2,493	2,491	-	-	Shares outstanding	2,489A	2,490	2,492	2,494	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	13,296	25,984	70,469	-	-	Gross margin	56.9%	72.7%	75.5%	-	-
Accounts receivable	3,827	9,999	17,060	-	-	EBITDA margin	23.3%	55.0%	62.6%	-	-
Inventories	5,159	5,282	11,621	-	-	EBIT margin	21.7%	54.3%	62.2%	-	-
Other current assets	791	3,080	4,062	-	-	Net profit margin	31.0%	53.0%	56.1%	-	-
Current assets	23,073	44,345	103,212	-	-	ROE	34.3%	99.3%	93.8%	-	-
PP&E	3,807	3,914	4,663	-	-	ROA	19.6%	60.4%	68.3%	-	-
LT investments	-	-	-	-	-	ROCE	16.1%	67.8%	76.6%	-	-
Other non current assets	14,302	17,469	19,337	-	-	SG&A/Sales	8.0%	4.2%	2.8%	-	-
Total assets	41,182	65,728	127,212	-	-	Net debt/equity	NM	NM	NM	-	-
Short term borrowings	1,250	1,250	1,250	-	-	P/E (x)	284.6	73.3	35.9	-	-
Payables	1,193	2,699	4,448	-	-	P/BV (x)	107.7	55.1	24.2	-	-
Other short term liabilities	4,120	6,682	11,258	-	-	EV/EBITDA (x)	377.3	70.4	31.4	-	-
Current liabilities	6,563	10,631	16,956	-	-	Dividend Yield	0.1%	0.1%	0.1%	-	-
Long-term debt	9,703	8,459	8,460	-	-	Sales/Assets (x)	0.6	1.1	1.2	-	-
Other long term liabilities	2,815	3,660	4,247	-	-	Interest cover (x)	-	-	-	-	-
Total liabilities	19,081	22,750	29,663	-	-	Operating leverage	(19426.5%)	369.1%	130.5%	-	-
Shareholders' equity	22,101	42,978	97,548	-	-	Revenue y/y Growth	0.2%	125.9%	92.9%	-	-
Minority interests	-	-	-	-	-	EBITDA y/y Growth	(41.6%)	433.2%	119.7%	-	-
Total liabilities & equity	41,182	65,728	127,212	-	-	Tax rate	3.2%	12.1%	16.3%	-	-
BVPS	8.81	17.24	39.16	-	-	Adj. Net Income y/y Growth	(25.7%)	286.3%	103.9%	-	-
y/y Growth	(16.0%)	95.6%	127.2%	-	-	EPS y/y Growth	(24.9%)	288.4%	104.1%	-	-
Net debt/(cash)	(2,343)	(16,275)	(60,759)	-	-	DPS y/y Growth	0.0%	0.0%	0.0%	-	-
Cash flow from operating activities	5,642	28,091	54,790	-	-						
o/w Depreciation & amortization	424	424	424	-	-						
o/w Changes in working capital	(3,174)	(5,057)	(11,351)	-	-						
Cash flow from investing activities	7,374	(10,566)	(6,668)	-	-						
o/w Capital expenditure	(1,833)	(1,068)	(1,344)	-	-						
as % of sales	6.8%	1.8%	1.1%	-	-						
Cash flow from financing activities	(11,617)	(13,634)	(8,784)	-	-						
o/w Dividends paid	(398)	(396)	(392)	-	-						
o/w Net debt issued/(repaid)	(7)	(1,279)	0	-	-						
Net change in cash	1,399	3,891	39,338	-	-						
Adj. Free cash flow to firm	3,809	27,023	53,446	-	-						
y/y Growth	(53.2%)	609.5%	97.8%	-	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jan. o/w - out of which

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NVIDIA Corporation (NVDA, NVDA US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Apr 04, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan’s continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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Completed 23 May 2024 12:20 AM EDT

Disseminated 23 May 2024 12:27 AM EDT